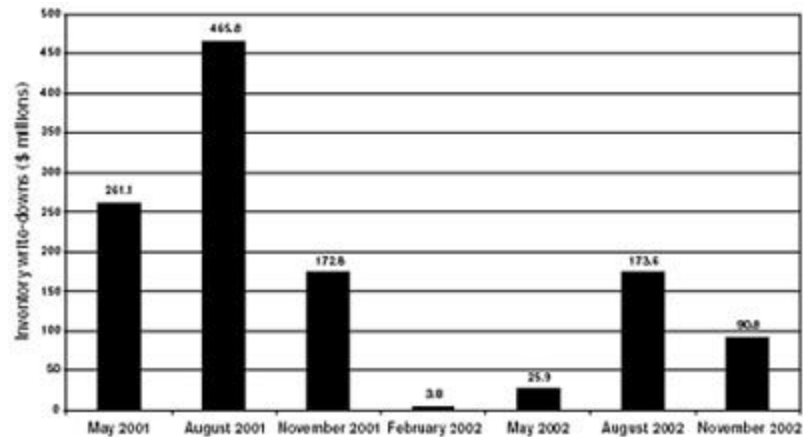




Source: Micron Technology's financial reports.

Micron booked further inventory write-downs in every one of the next six fiscal quarters. Was the devaluation of Micron's inventory a nonrecurring event, or had it become a chronic condition? Reasonable minds can differ on this particular case, but one thing is clear: The intelligent investor must always be on guard for "nonrecurring" costs that, like the Energizer bunny, just keep on going.⁵

The Pension Dimension

In 2001, SBC Communications, Inc., which owns interests in Cingular Wireless, PacTel, and Southern New England Telephone, earned \$7.2 billion in net income—a stellar performance in a bad year for the overextended telecom industry. But that gain didn't come only from SBC's business. Fully \$1.4 billion of it—13% of the company's net income—came from SBC's pension plan.

Because SBC had more money in the pension plan than it estimated was necessary to pay its employees' future benefits, the company got to treat the difference as current income. One simple reason for that surplus: In 2001, SBC raised the rate of return it expected to earn on the pension plan's investments from 8.5% to 9.5%—lowering the amount of money it needed to set aside today.